Ola Electric Mobility Ltd

Electric Vehicles | IPO Size: Rs 6,145 Cr | Price Band: Rs 72-76

Report generated: 27 June 2026 | Confidential

DD Score	Financials	Governance	Business Quality	Risk Level	Verdict
41/100	28/100	38/100	55/100	HIGH	Cautious

Executive Summary

Ola Electric is a market leader in Indian e-2W with 32% share but has never been profitable. The IPO includes significant OFS, meaning founders are partially exiting. Subsidy dependency and concentrated governance are key risks. For FPI investors, limit allocation to under 1% of India portfolio and monitor post-listing EBITDA trajectory before adding.

Financial Highlights

Metric	FY22	FY23	FY24
Revenue (Rs Cr)	456	2,782	5,010
PAT (Rs Cr)	-784	-1,472	-1,584

EBITDA Margin: -18.4%

Debt/Equity Ratio: 1.80x

ROCE: -22.3%

Red Flags

Never profitable: Cumulative losses exceed Rs 4,000 Cr. IPO includes OFS — founders cashing out.

Subsidy dependency: 18% of FY24 revenue from FAME II subsidies now being discontinued.

Dual-class shares: Founder retains supermajority voting rights post-IPO.

Risk Factors

[HIGH] Financial: Consecutive losses since inception. PAT loss of Rs 1,584 Cr in FY24.

[HIGH] Regulatory: FAME II subsidy being wound down. Replacement policy not finalised.

[MEDIUM] Operational: Single manufacturing site — concentration risk at Krishnapatnam plant.

[MEDIUM] Market: Legacy OEMs accelerating EV launches — moat narrowing rapidly.

Cross-Border Investor Notes

[POSITIVE] 100% FDI permitted under automatic route in automobile manufacturing.

[CAUTION] Mauritius/Singapore investors must satisfy GAAR beneficial ownership norms.

[NEGATIVE] 30-day anchor lock-in creates elevated volatility immediately post-listing.
